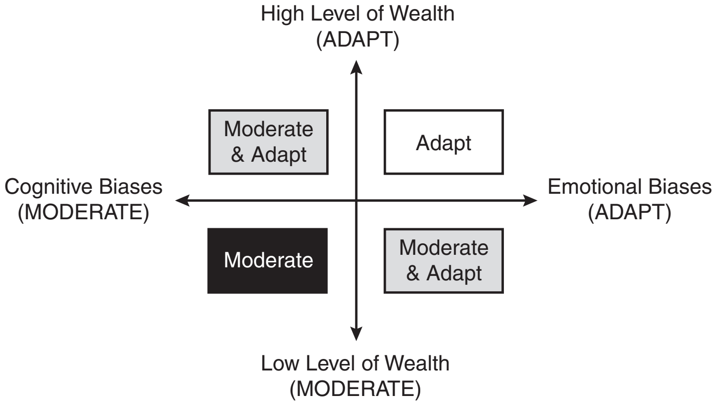

FIGURE 24.1 Visual Depiction of Guidelines I and II
Source: M. Pompian and J. Longo, "Incorporating Behavioral Finance into Your Practice," *Journal of Financial Planning* (March 2005). Reprinted with permission of the Financial Planning Association. For more information on the Financial Planning Association, please visit www.fpanet.org or call 1-800-322-4237.

lifestyle that he or she does not wish to alter may not have an SLR, and as such might be viewed as having a moderate to high level of wealth. However, an individual with a high level of assets and an extravagant lifestyle that he or she wishes to maintain may have an SLR; this individual, regardless of level of assets, might be viewed as having a low to moderate level of wealth.

In some cases, heeding Guidelines I and II simultaneously yields a blended recommendation. For instance, a less wealthy client with strong emotional biases should be both adapted to and moderated. Figure 24.1 illustrates this situation. Additionally, these guidelines reveal that two clients exhibiting the same biases should sometimes be advised differently. In Chapter 25, the case studies will add clarity to this complex framework, while also illustrating how practitioners can apply Guidelines I and II to determine the best practical allocation.

QUANTITATIVE GUIDELINES FOR INCORPORATING BEHAVIORAL FINANCE IN ASSET ALLOCATION

To override the mean-variance optimizer is to depart from the strictly rational portfolio. The following is a recommended method for calculating the magnitude of an acceptable discretionary deviation from default of the mean-variance output allocation.